

and often at short notice, this raises the pertinent question of how a director can feasibly absorb such vast amounts of information and adequately prepare for their board duties,” points out Srinath Sridharan, an independent commentator and corporate advisor.

EVOLVING ROLES

Most auditors also highlight that the expectations from statutory auditors have undergone a shift over the years. Patel of Manohar Chowdhary & Associates says that while earlier the auditor was seen as a watchdog, this has now changed. “The detection of fraud is not a watchdog’s duty but of a bloodhound,” he says, adding that in many instances, audit firms have not moved with the times and continue to maintain that detecting frauds isn’t their job. “Auditors need to build capacity in data handling, audit documentation, which are becoming more important day by day,” he adds.

Based on feedback, the Institute of Chartered Accountants of India (ICAI) and audit firms are taking measures to improve capacity. The ICAI introduced the Forensic Accounting and Investigation Standards (FAIS) in July 2021 and also issues guidance notes, technical bulletins, and advisories to keep its members updated on the latest developments.

In an earlier interaction with *BT*, ICAI President Aniket Talati had highlighted initiatives being taken by it such as upskilling chartered accountants and students for the digital economy and the use of artificial intelligence. The ICAI declined to answer queries from *BT* for this story. EY, PwC, KPMG and Deloitte, too, did not respond to emailed queries.

Everyone agrees that there are some bad apples. With more than



“With increasing volumes of data sent to board members... this raises the question of how a director can absorb such vast amounts of information and adequately prepare for their board duties”

SRINATH SRIDHARAN
INDEPENDENT MARKETS COMMENTATOR AND CORPORATE ADVISOR

WHAT NEXT?

- ▶ The government, the NFRA and the ICAI plan to introduce more measures for enhancing the independence of auditors, and better regulation
- ▶ Amendments to the Companies Act for statutory auditors with provisions like a cooling-off period, non-audit services
- ▶ NFRA had floated a draft Annual Transparency Report that would be submitted by auditors
- ▶ ICAI is working to upskill CAs and students on the digital economy, use of artificial intelligence
- ▶ A regulatory regime for large unlisted firms like start-ups is being planned to improve their corporate governance



6,000 listed firms and thousands of unlisted ones, there will be some cases of wrongdoing, be it by the board or the management alone or in connivance with the auditors. And auditors reiterate that such cases are few and far between. (See table ‘Bad Apples Exist’). But questions remain if more can be done.

The NFRA Chairman says India is seen as a bright spot among emerging markets by global investors. “We also see increased participation of Indian small and retail investors in capital markets in recent times... All of them

need more trust in the financial reporting by the corporate world,” he says. Audit processes will continue to evolve as new businesses and business practices emerge, with more action expected in the coming months. Amendments to the Companies Act, 2013, would bring new regulatory requirements while an appeal by NFRA in the Supreme Court to probe pre-2018 cases could also open up further discourse. All this is sure to keep auditors on their toes. **BT**

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